

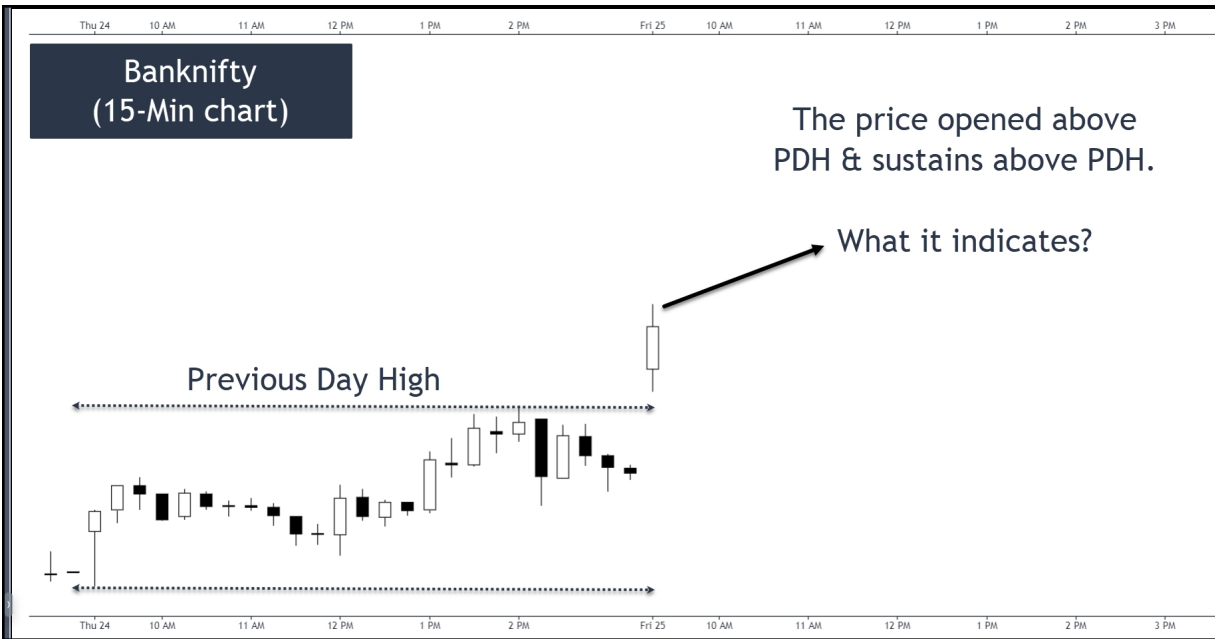


Image 5.6 – Imbalanced Open at PDH

On 25th June, the price opened above the previous day high (gap up open), and it sustains above PDH even after 15-minutes from the open.

Do you know what it indicates?

It indicates that some people have substantial information, which is positive for Banknifty, and their participation resulted in an imbalanced open above PDH.

But whenever the price opens at a higher level, some selling will occur (due to profit booking). But in the above case, even after 15-minutes, the price stayed above PDH. It indicates that these strong buyers are absorbing all the selling (or at least most of it), and hence there is a higher probability of price trading upwards for the rest of the day.